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FOURTH REVIEW UNDER THE EXTENDED CREDIT FACILITY, REQUEST FOR MODIFICATION OF QUANTITATIVE PERFORMANCE CRITERION, AND FINANCING ASSURANCES REVIEW—DEBT SUSTAINABILITY ANALYSIS

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Risk of external debt distress:	**Moderate**
Overall risk of debt distress	**Moderate**
Granularity in the risk rating	**Substantial space to absorb shocks**
Application of judgment	**No**

According to the updated Low-Income Country Debt Sustainability Framework (LIC DSF), the Democratic Republic of the Congo (DRC)'s debt-carrying capacity remains weak.[1] The DRC remains at a moderate risk of external and overall debt distress, with substantial space to absorb shocks. Weak revenue mobilization is a main determinant for the DRC's moderate risk of debt distress given low external debt. External debt thresholds for both solvency and liquidity risks are breached under the stress tests, highlighting the country's vulnerability to external shocks, primarily regarding a negative shock to exports. Given limited buffers and exposure to risk from volatile commodities prices, prudent borrowing policies prioritizing concessional loans, and strengthening debt management policies remain essential to debt sustainability.

[1] The DSA reflects a debt carrying capacity of weak considering DRC's Composite Indicator of 2.23, based on the April 2023 World Economic Outlook and the latest CPIA vintage (2021).

PUBLIC DEBT COVERAGE

1. Public and publicly guaranteed (PPG) external and domestic debt covers debt contracted and guaranteed by the central government, the Central Bank of Congo (BCC), provinces, and part of state-owned enterprises (SOEs). The public debt department (*Direction Générale de la Dette Publique*, DGDP) under the Ministry of Finance publishes quarterly and annual reports on its website with information on domestic and external debt based on the residency criteria. The reports summarize the debt of the central government, debt of Sicomines (a joint venture between the Congolese government and Chinese investors) and Gécamines, guaranteed external debt of SOEs managed by the government, and the BCC. Other public institutions are legally prevented from borrowing externally without approval, and unlikely to command market access without a government guarantee. However, the authorities do not receive any regular report from public institutions other than those named above or provinces. In light of this, the authorities are committed to improve quality of debt reporting, especially for SOEs, and are following up on recommendations from recent IMF technical assistance. To this end, the authorities are finalizing a draft law to harmonize the legal framework, reaffirm the exclusive role of the Ministry of Finance in contracting external debt, and strengthen the mandate of the DGDP, including in monitoring SOEs' debt. Supported by the World Bank Sustainable Development Finance Policy (SDFP), under Performance and Policy Actions (PPA2), the authorities improved the coverage of their debt reports to include the reporting of SOEs and provinces debt.[2] Moreover, Sicomines' infrastructure loans

Text Table 1. Democratic Republic of the Congo: Coverage of Public and Publicly Guaranteed Debt and Parameters for Contingent Liability Shocks for the Tailored Stress Test

Public Debt Coverage

	Subsectors of the public sector	Sub-sectors covered
1	Central government	X
2	State and local government	X
3	Other elements in the general government	
4	o/w: Social security fund	
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	X
8	Non-guaranteed SOE debt	X

Public Debt Coverage and the Magnitude of the Contingent Liability Tailored Stress Test

1	The country's coverage of public debt	The central, state, and local governments, central bank, government-guaranteed debt, non-guaranteed SOE debt			
		Default		Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0	percent of GDP	2.0	Some public institutions are not reporting to the DGDP.
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2	percent of GDP	0.5	Reflecting risks stemming from irregular data sharing with DGDP.
4	PPP	35	percent of PPP stock	0.0	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5	percent of GDP	5.0	
	Total (2+3+4+5) (in percent of GDP)			7.5	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1). If it is already included in the government debt (1) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

[2] Under the SDFP PPA2 for FY23, the authorities published the quarterly debt bulletins for the second half of 2022 that included debt reporting of 5 SOEs (SNEL, MIBA, Gécamines, Sodimico and Sonahydroc) as well as debt of 3 provinces (Kinshasa, Kwilu and Kongo Central).

have a government guarantee which can only be called after 2050. Its debt is expected to be repaid by 2027 and is collateralized by Sicomines' earnings.[3] Sicomines also contracted a loan to finance the Busanga power plant to secure its electricity supply. Data on the debt of the private sector is scarce, and the private sector is believed not to be borrowing externally.

BACKGROUND AND RECENT DEVELOPMENTS

2. Despite vast natural resources, the DRC is one of the poorest countries in the world, and its fragility makes the country prone to health and humanitarian crises and conflict. The economy is highly dollarized, undiversified, and acutely vulnerable to commodity-price shocks and supply risks.

3. While the DRC's economy has shown resilience in recent years, it remains highly vulnerable to shocks. After a rebound of real GDP growth to 6.2 percent in 2021, growth increased to 8.9 percent in 2022, and is projected at 6.8 percent in 2023, supported by high commodity prices, expanded mining production, despite slower growth in the non-extractive sector. The primary deficit is expected to widen from 0.2 percent in 2022 to 1.1 percent in 2023, against the backdrop of an escalation of the conflict in the East. Despite a deteriorated current account, reserves strengthened in 2022, reaching about 8 weeks of non-aid related imports at end-2022.

4. External arrears partly date from pre-HIPC Completion Point, with some Gecamines arrears adding to the stock. External arrears amount to US$254.5 million.[4] Four non-Paris Club creditors hold claims against the DRC for a total of US$65 million and are in negotiation or under a reconciliation process. Meetings with each of these creditors took place in the first half of 2023 or are scheduled this year, with enhanced information sharing, to reach an agreement. The remaining external arrears are claims from commercial creditors with whom the authorities are also making good faith efforts.

5. At end-2022, the public debt ratio was 22 percent of GDP, lower by about 2 percentage points of GDP vis-à-vis the the 2021 level. External public debt-to-GDP decreased from 16.8 percent at the end of 2021 to 15.5 percent at the end of 2022 thanks to strong GDP growth, with about half of public external debt owed to official creditors. Domestic debt in 2022 decreased to 6.4 percent of GDP, mostly reflecting domestic arrears,[5] Treasury bill and bond issuance, and the recording of bank loans under the now phased-out CREDOCs ("Credit

[3] Box 1, Debt Sustainability Analysis, IMF Country Report No. 15/280. This report includes data on disbursements up to end-2022 on publicly guaranteed infrastructure loans, and up to end-2021 for other loans.

[4] In accordance with the LIC DSF Guidance Note, the external arrears do not trigger a determination of an in-debt-distress risk rating when they are *de minimus* cases where arrears are less than 1 percent of GDP. For more details see paragraph 15.

[5] In accordance with the LIC DSF Guidance Note, the domestic arrears do not trigger a determination of an in-debt-distress risk rating when they are arrears to suppliers of goods and services that do not reflect government insolvency and/or liquidity problems. For more details, see paragraph 15.

Documentaire"), a scheme which used central bank's deposits as guarantees for central government loans. Multilateral and bilateral dominates the creditor base (Text Table 2).

6. The overall domestic debt is mostly composed of arrears. Most of the domestic debt stock consists of arrears estimated at 5.7 percent of GDP at end 2022 (Text Table 3). Arrears are mainly composed of reconciled arrears (3.8 percent of GDP) and VAT arrears to exporters—1.0 percent of GDP. In addition, arrears to oil companies amount to 0.6 percent of GDP. Reconciled arrears have been audited and include financial debt, social debt, judiciary debt, debt to suppliers, and debt related to rent and other services.

Text Table 2. Democratic Republic of the Congo: Decomposition of Public Debt and Debt Service by Creditor 2022-24[1]

	Debt Stock 2022			Debt Service					
				2022	2023	2024	2022	2023	2024
	(in M US$)	*(Percent total debt)*	*(Percent GDP)*	*(in M US$)*			*(Percent GDP)*		
Total	14,224.5	100.0	21.6	1,778.0	1,800.5	1,201.9	2.7	2.6	1.6
External	9,989.8	70.2	15.2	695.0	696.4	679.6	1.1	1.0	0.9
Multilateral creditors	4,889.7	34.4	7.4	169.3	167.1	124.0	0.3	0.2	0.2
IMF[2]	2,233.5	15.7	3.4	8.9	31.5	43.1	0.0	0.0	0.1
World Bank	2,124.8	14.9	3.2	51.4	67.4	62.1	0.1	0.1	0.1
AfDB	381.9	2.7	0.6	95.5	57.8	9.4	0.1	0.1	0.0
Other Multilaterals	149.6	1.1	0.2	-	-	-	-	-	-
o/w : European Investment Bank	56.6	0.4	0.1	9.4	5.3	5.3	0.0	0.0	0.0
Arab Bank for Economic Development in Africa	40.9	0.3	0.1	0.5	0.7	0.8	0.0	0.0	0.0
Bilateral creditors	4,592.6	32.3	7.0	496.0	437.6	462.9	0.8	0.6	0.6
Paris Club	107.4	0.8	0.2	21.3	18.5	10.8	0.0	0.0	0.0
o/w : France	43.6	0.3	0.1	21.3	18.5	10.8	0.0	0.0	0.0
Exim Bank of Korea	63.8	0.4	0.1	0.0	0.0	0.0	0.0	0.0	0.0
Non-Paris Club	4,485.2	31.5	6.8	474.7	419.0	452.1	0.7	0.6	0.6
o/w : Exim Bank of China	4,007.6	28.2	6.1	438.2	359.7	396.1	0.7	0.5	0.5
Exim Bank of India	152.2	1.1	0.2	19.9	20.5	16.7	0.0	0.0	0.0
Bonds	...	...	...	...	...	...	...	...	...
Commercial creditors	507.5	3.6	0.8	29.7	91.8	92.7	0.0	0.1	0.1
o/w : FG Hemisphere	93.2	0.7	0.1	-	8.1	8.1	-	0.0	0.0
Financial Investment Holding	31.3	0.2	0.0	7.3	7.3	7.2	0.0	0.0	0.0
Domestic	4,234.8	29.8	6.4	1,083.0	1,104.1	522.4	1.6	1.6	0.7
T-Bills	91.8	0.6	0.1	192.8	96.4	-	0.3	0.1	-
T-Bonds	292.7	2.1	0.4	-	211.2	119.3	-	0.3	0.2
Loans	130.2	0.9	0.2	146.0	107.7	19.4	0.2	0.2	0.0
Arrears	3,720.0	26.2	5.7	744.1	688.7	383.7	1.1	1.0	0.5
Memo items:									
Collateralized debt	3,275.4	23.0	5.0						
Contingent liabilities	3,631.1	25.5	5.5						
o/w : Public guarantees	298.7	2.1	0.5						
o/w : Other explicit contingent liabilities	3,332.4	23.4	5.1						
Nominal GDP (in M USD)	65,807.5	...	...	65,807.5	68,631.8	75,370.0	...	...	...

Sources: Congolese authorities and IMF staff estimates.
1/ As reported by country authorities according to their classification of creditors, including by official and commercial. Debt coverage is the same as the DSA. Percent of GDP figures are computed using GDP in M US$ converted from CDF using average exchange rate, which could lead to discrepancies with the DSA.
2/ Including the part of the SDR allocation retroceded to the government as budgetary support.

Text Table 3. Democratic Republic of the Congo: Total Domestic Debt, 2022

	2022		
	Nominal in US$ million	In percent of GDP	In total domestic debt
Stock of Treasury bills and other bank loans	514.7	0.8	12.2
Reconciled legacy arrears 1/	2,485.6	3.8	58.7
Arrears from provinces	145.8	0.2	3.4
Arrears to oil companies	418.2	0.6	9.9
VAT arrears	670.5	1.0	15.8
Total	4,234.8	6.4	100.0

Sources: Congolese authorities and IMF staff calculations.
1/ Includes the stock of validated and certified arrears under the domestic debt strategy and the stock of certified arrears awaiting validation.

BACKGROUND ON MACROECONOMIC FORECASTS

7. Projections underlying this DSA are underpinned by the macroeconomic framework of the fourth review of the ECF-supported arrangement.

- GDP growth is expected to remain strong in 2023-28 (5.5 on average) due to new mining projects, high commodity prices, and strong global demand for DRC's commodity exports. These developments, in addition to positive advances in the services sector, would improve the trade balance in the medium to long term. Starting from 5.0 percent of GDP in 2022, the trade deficit is expected to decrease to 4.4 percent in the medium term, recovering from two years of exceptionally strong import growth. Risks stem from upcoming elections, the escalation of the conflict in the East, and a reversal of commodity prices.

- Against the background of large development needs, , ambitious public spending on education and infrastructure relies on available additional financing sources in the context of the catalytic role of the ECF arrangement and domestic revenue mobilization efforts.[6] The latter will hinge on the authorities' plans to broaden the tax base, improve tax compliance, restore VAT functioning, and modernize and digitalize revenue collection.

- Sizable other investment inflows, including project financing, strengthened reserve accumulation in 2022 despite a deteriorated current account. Multilateral and bilateral loans remain the main sources of debt financing. Contracted external borrowing is projected to amount to $4.0 billion and $2.3 billion in 2023 and 2024, respectively. Financial terms of new lending are projected to

[6] The ECF arrangement focus on three key areas, (i) stepping up domestic revenue mobilization through restoring VAT normal functioning, rationalizing non-tax and parafiscal charges, streamlining tax expenditures, and modernizing revenue administration; (ii) strengthening governance including natural resource management and transparency; and (iii) strengthening the monetary policy framework and the central bank's independence. See CR 22/3 for details on key policies under the ECF-supported arrangement.

remain largely concessional, with an increase of lending at non-concessional terms over the medium term.

- Treasury Bill and Bonds gross issuances amounted to US$637 million in 2022 (1 percent of GDP), and are expected to increase, as domestic markets deepen, and concessional financing gradually declines over the long term.

8. The realism tool's outputs find the DSA projections to be consistent with DRC's historical experience (Figures 3 and 4).

- **Debt drivers:** External debt-to-GDP remained low in 2022; new engagement strategies with multilateral institutions will provide financing to sustain development.
- **Fiscal adjustment and growth.** The projected fiscal deficit remains within its historical range, and is contained over the medium term, thanks to improved revenue mobilization and sustained growth.

Box 1. Macroeconomic Assumptions for 2023–43

Real GDP growth. Growth is expected to average at about 5.0 percent over the medium to long term, driven by sustained increases in mining production, supportive commodity prices, and a gradual increase in public investment.

Inflation. After peaking at 11.5 percent in 2023, average inflation measured by GDP deflator growth is projected to stabilize around 6 percent in 2024-28 and beyond, in line with the BCC's target of keeping inflation below 7 percent. The BCC's commitment to tighten monetary policy as needed to curb inflation dynamics will be key to keeping inflation expectations anchored.

Primary balance. The primary fiscal deficit is projected to average 0.8 percent of GDP in 2023-2028, with greater revenue mobilization and additional external financing helping to tackle large spending needs. Capital expenditure is expected to rise over the projection period and to gradually shift towards domestic financing. Revenues are computed as central government revenues plus revenues from SOEs that are assumed equivalent to their debt service flows.

Current account balance. The current account balance is significantly driven by developments in the mining sector. Mineral exports constitute a significant portion of exports and are projected to improve, on average, over the medium term given new mining projects and high global demand for commodities related to the global climate transition. Imports are projected to rise gradually on the back of increasing demand for capital goods and intermediates for infrastructure investment. Overall, the non-interest current account deficit averages 3.4 percent of GDP over 2023-2043.

Financing. External financing is projected to consist of concessional and non-concessional loans from multilateral, bilateral and commercial lenders, and FDI. Part of the financing of public investment projects would also stem from foreign grants. Additional government financing needs are assumed to be covered by treasury bill issuance (70%) and treasury bond issuance with maturities below 7 years (30%) in the domestic market until 2033, with bond issuance assumed to increase (to 40%) by 2043.

Gross official reserves. Gross official reserves are expected to gradually rise to about 13 weeks of imports by 2028. The reserve buildup is crucially driven by stronger exports, financing under the program, and the catalytic effect of the ECF program.

COUNTRY CLASSIFICATION AND DETERMINATION OF SCENARIO STRESS TESTS

9. DRC's debt carrying capacity is classified as weak (Text Table 4), unchanged from the previous DSA. The classification of debt carrying capacity is guided by the composite indicator (CI) score which is determined by the World Bank's CPIA and other macroeconomic variables, including forward-looking elements. DRC's CI score is 2.23, roughly unchanged compared to previous vintages. DRC is a fragile state and highly vulnerable to external shocks.

10. The debt sustainability analysis relies on six standardized stress tests and two tailored stress tests (commodity price shock and combined contingent liabilities shock). The standardized stress tests use the default settings. While DRC does not qualify for the market financing shock stress test, the commodity price shock stress test is relevant in assessing the sensitivity of projected debt burden indicators to unfavorable commodity export prices.[7]

Text Table 4. Democratic Republic of the Congo: Composite Indicator and Threshold Tables

Debt Carrying Capacity	Weak

Final	Classification based on current vintage	Classification based on the previous vintage	Classification based on the two previous vintage
Weak	Weak 2.23	Weak 2.13	Weak 2.15

Applicable Thresholds

APPLICABLE	
EXTERNAL debt burden thresholds	
PV of debt in % of	
Exports	140
GDP	30
Debt service in % of	
Exports	10
Revenue	14

APPLICABLE	
TOTAL public debt benchmark	
PV of total public debt in percent of GDP	35

Note: The current vintage refers to the 2023 April WEO and the 2021 CPIA; the previous vintages refer to the October and April 2022 WEOs and the 2021 CPIA.

[7] Under the debt sustainability framework, countries with commodity exports accounting for at least 50 percent of total exports of goods and services over the previous three-year period are subject to the stress test. Commodities accounted for about 97 percent of DRC's exports of goods and services over the period 2018-20.

EXTERNAL DEBT SUSTAINABILITY

Baseline

11. External PPG debt remains sustainable in the baseline scenario, but with vulnerabilities stemming from some structural weakness. All external debt is owed or guaranteed by the government. Due to improved access to external financing, external debt increased from $9,615 million in 2021 to $9,990 million in 2022, driven by increased debt towards multilateral creditors. The present value of external debt estimated at 11.7 percent of GDP in 2022 is significantly lower than the benchmark of 30 percent and reflects the extent of concessional debt which is projected to remain broadly unchanged. Despite higher debt issuance resulting from the catalytic effect of the ECF arrangement and temporarily larger fiscal deficits reflecting higher investment needs, the medium-term trajectory of external and public debt does not give rise to debt sustainability concerns, under the currently favorable medium-term growth outlook. The end-June 2023 quantitative performance criterion (QPCs) on the present value of new external borrowing, set at US$1500 million, is on track to be met, and the newly set end-December 2023 QPC at US$2.5 billion reflects some catching up with signing loans initially planned in 2022. Indicators of public external debt and external debt services remain below their threshold in the baseline scenario (Figure 1).

Alternative Scenarios and Stress Tests

12. The debt-to-GDP and the debt service-to-exports indicator breach their thresholds under the most extreme shock scenario of lower nominal exports (Figure 1).[8] In the exports shock scenario, nominal exports fall by 19.5 percent in 2024 and 20.6 percent in 2025, relative to the previous year value. Given a share of 70 percent for copper exports in total exports in 2022, the exports shock could be equivalently modelled as the combination of two consecutive 30 percent drops in 2024 and 2025 in the international price of copper, relative to baseline projections. These breaches highlight vulnerabilities from a reversal in commodity prices. This risk would be mitigated by limiting non-concessional borrowing and seizing the opportunity of high commodity prices to build buffers and safeguard some borrowing space.

PUBLIC DEBT SUSTAINABILITY

Baseline

13. The overall risk of debt distress is projected to remain moderate. The public debt-to-GDP ratio does not breach its threshold in the baseline scenario. However, under the most extreme shock of lower nominal exports, the present value of debt relative to GDP comes close to the threshold in one year (Figure 2). While treasury bill issuance remains low, recognition of yet uncertified VAT arrears and arrears to

[8] Nominal export growth (in USD) is set to its historical average minus one standard deviation, or to the baseline scenario's projection minus one standard deviation, whichever is lower in 2024–25, a shock that is likely unduly harsh to judge external financing needs as imports would likely contract significantly under such a scenario. For the specification of other stress tests, see Table 8 in the 2018 Guidance Note.

suppliers could bring domestic debt and total public debt up. The realization of guarantees and other possible contingent liabilities poses risks.

Alternative Scenarios and Stress Tests

14. Stress tests confirm DRC's vulnerability to shocks to exports and commodity prices. The most extreme shock for the ratio to GDP of the present value of public debt consists of a sharp decline in exports (Figure 2). Under such shock, the present value of the public debt ratio peaks at slightly less than the applicable threshold value of 35 percent. Under this shock the public debt service-to-revenue ratio remains below their 2023 level of 16 percent of revenue in the medium term.

RISK RATING AND VULNERABILITIES

15. The external and overall risk of debt distress for the DRC remain moderate (Text Table 5). Both external and overall public debt are at moderate risk of debt distress due to breaches of the thresholds under the stress tests. Over the duration of the ECF-supported arrangement, public debt metrics remain broadly unchanged, as stronger projected economic and revenue growth is expected to be somewhat offset by higher borrowing. External debt is expected to decrease gradually relative to GDP and exports. At 0.4 percent of GDP, external arrears are below 1 percent of GDP, qualifying as a *de minimis* case, and hence not encumbering the risk rating consideration. The domestic arrears are to suppliers of goods and services and reflect inadequate public finance practices rather than government insolvency and/or liquidity problems, and the authorities are enacting measures that lead to their reduction.

Text Table 5. Democratic Republic of the Congo: Risk Ratings

External debt distress rating	
Mechanical external debt distress rating	Moderate
Final external debt distress rating	Moderate
Judgement was applied	No

Overall Risk Rating	
Mechanical overall debt distress rating	Moderate
Final overall debt distress rating	Moderate
Judgement was applied	No

16. Low revenue mobilization capacity warrants preserving the borrowing space created by favorable commodity prices. Although there is substantial space for additional borrowing without endangering DRC's risk rating (Figure 5), low revenue mobilization remains a key challenge. Under the ECF-supported arrangement, revenues are projected to increase from 9.5 percent of GDP in 2020 to 18 percent by 2028, compared to an average of 20 percent of GDP in SSA.

17. Risks stem from export performance and DRC's ability to carry meaningful reforms. Export performance is the Achilles' heel of DRC's debt sustainability. A key risk is therefore the fluctuation in

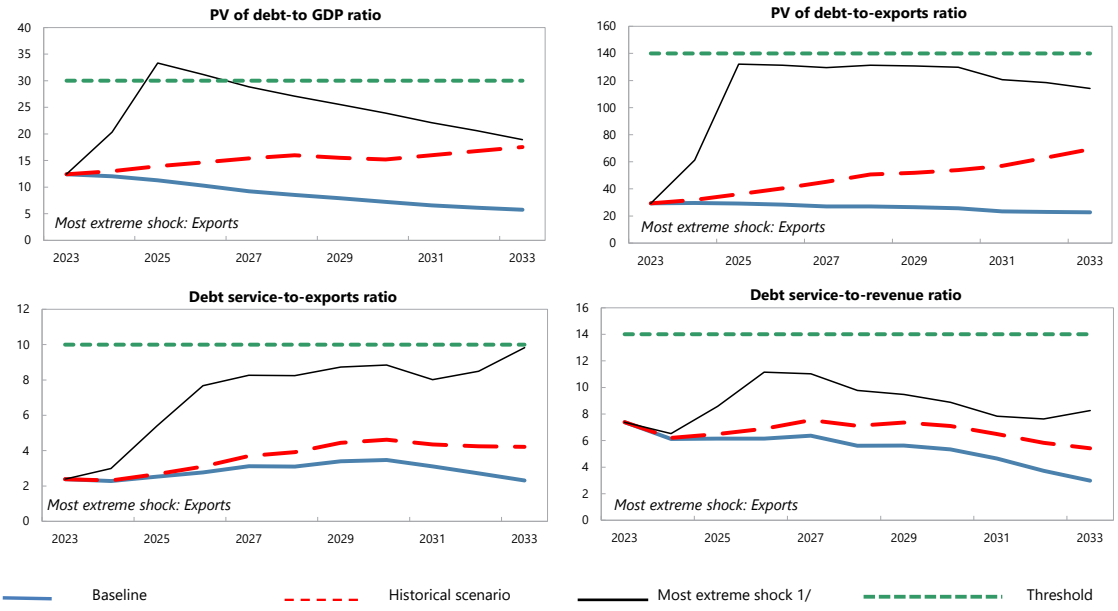
commodity prices. DRC should continue to build buffers by increasing international reserves, mobilizing revenue, and ensuring borrowed resources enhance inclusive growth and promote economic diversification by supporting private sector development in non-extractive sectors. Borrowing on non-concessional is projected to increase but should remain limited, and DRC should continue to rely mostly on concessional sources.

18. Despite low total public debt, limited repayment capacity remains a key vulnerability. Key sources of vulnerabilities include commodity prices fluctuations and challenges to fiscal revenue mobilization. Despite gradually higher revenues projected under the ECF-supported arrangement, the debt service-to-revenue ratio suggests that space for additional borrowing is close to becoming constrained (Figure 1). This calls for prudent fiscal policies including constraining new borrowing. Structural reforms, in particular in revenue mobilization, public financial management, and growth potential-enhancing public investment remain key to DRC's debt carrying capacity.

AUTHORITIES' VIEWS

19. The authorities broadly agreed with the overall assessment of the country's debt sustainability. Debt carrying capacity is expected to improve against the backdrop of the ECF-supported arrangement. The authorities are committed to further improve debt management, including enhancing the reporting of SOE (with the inclusion of SOE debt in public debt statistics by 2023) and publicly guaranteed debt.

Figure 1. Indicators of Public and Publicly Guaranteed External Debt under Alternative Scenarios, 2023-33



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	Yes	
Natural disaster	n.a.	n.a.
Commodity price	Yes	Yes
Market financing	n.a.	n.a.

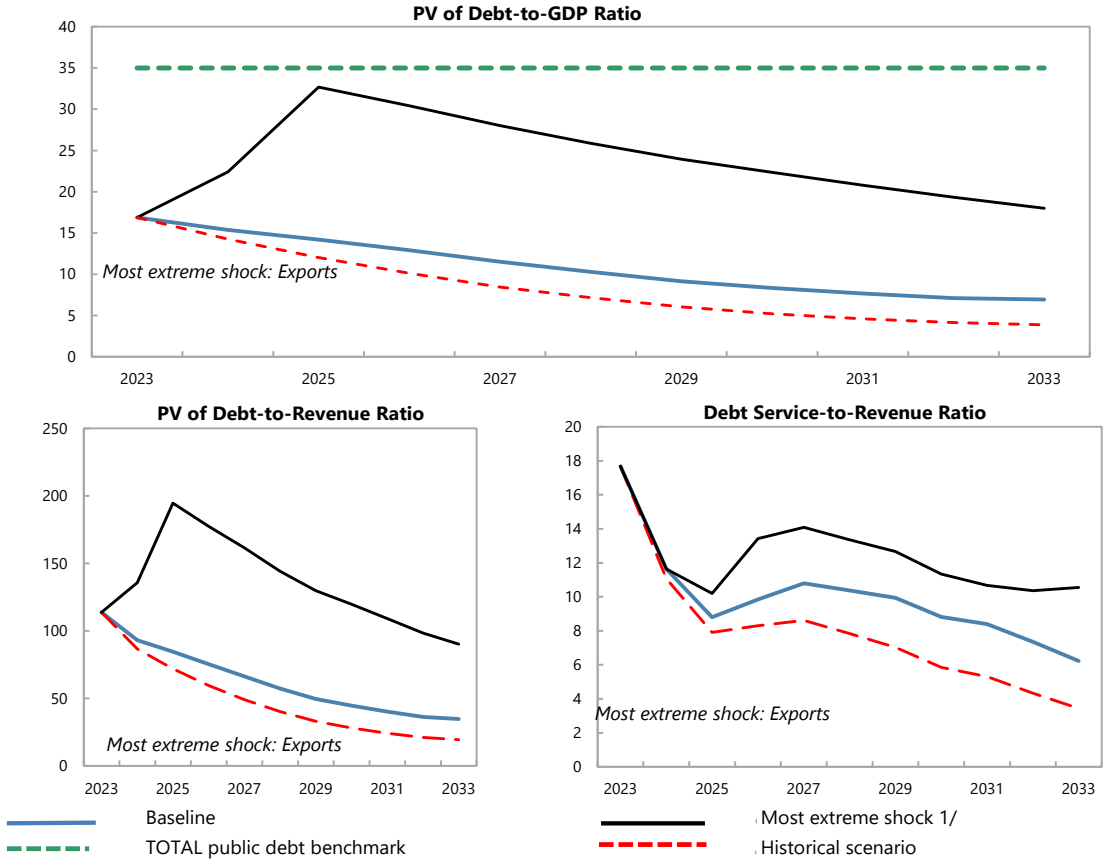
Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	2.7%	2.7%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	31	31
Avg. grace period	7	7

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities and IMF staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most extreme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Figure 2. Indicators of Public Debt Under Alternative Scenarios, 2023-33



Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	67%	95%
Domestic medium and long-term	10%	2%
Domestic short-term	23%	3%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	2.7%	2.7%
Avg. maturity (incl. grace period)	31	31
Avg. grace period	7	7
Domestic MLT debt		
Avg. real interest rate on new borrowing	1.7%	1.7%
Avg. maturity (incl. grace period)	3	3
Avg. grace period	1	1
Domestic short-term debt		
Avg. real interest rate	-1.3%	-1.3%

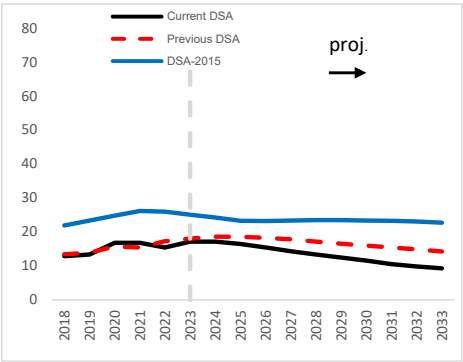
* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities and IMF staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most extreme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

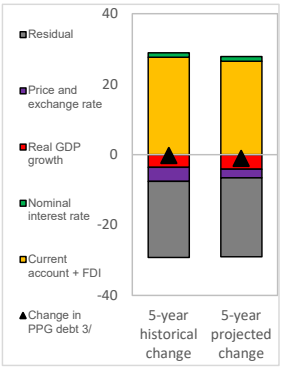
Figure 3. Drivers of Debt Dynamics – Baseline Scenario

External debt

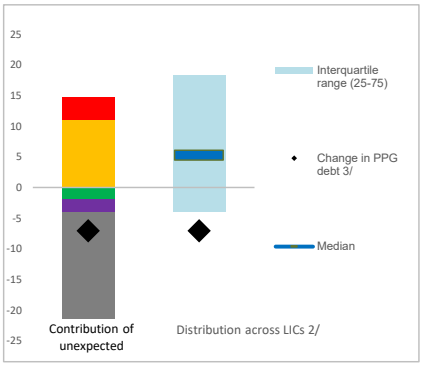
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

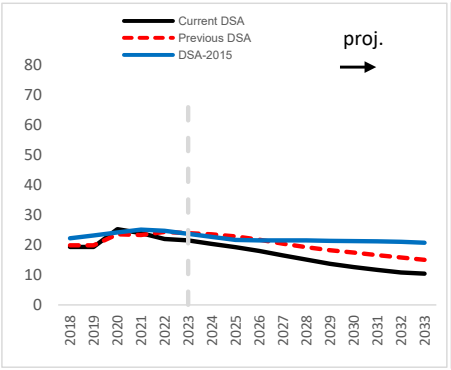


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

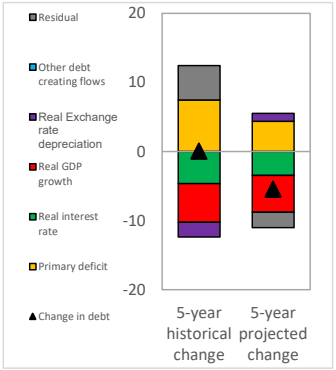


Public debt

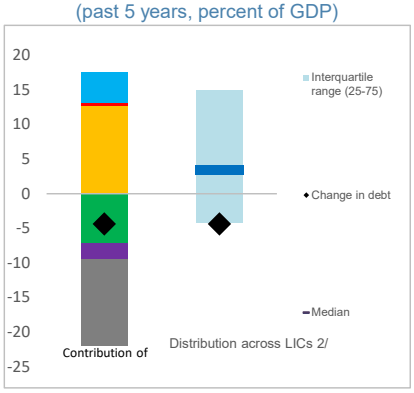
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



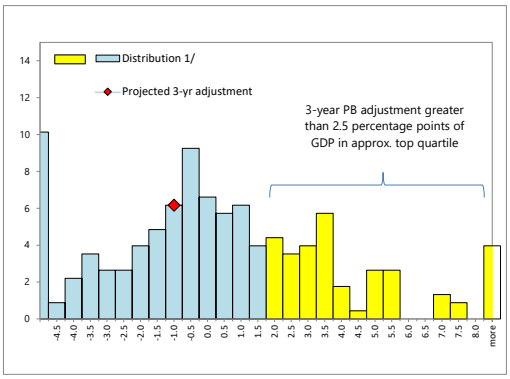
Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



Sources: Country authorities and IMF staff estimates and projections.
1/ Difference between anticipated and actual contributions on debt ratios.
2/ Distribution across LICs for which LIC DSAs were produced.
3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

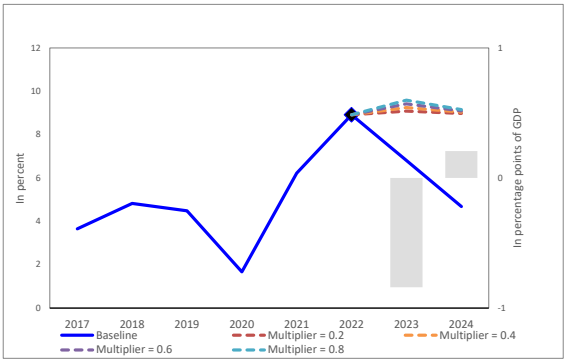
Figure 4. Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



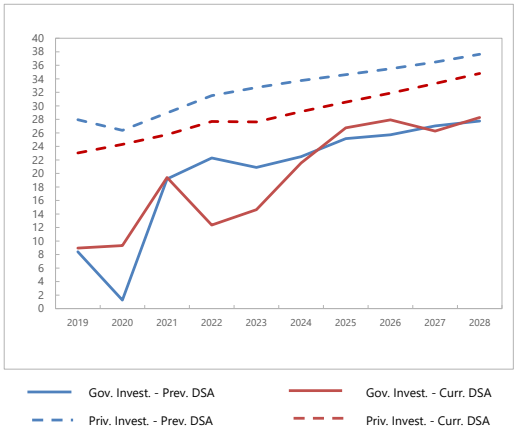
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 2/

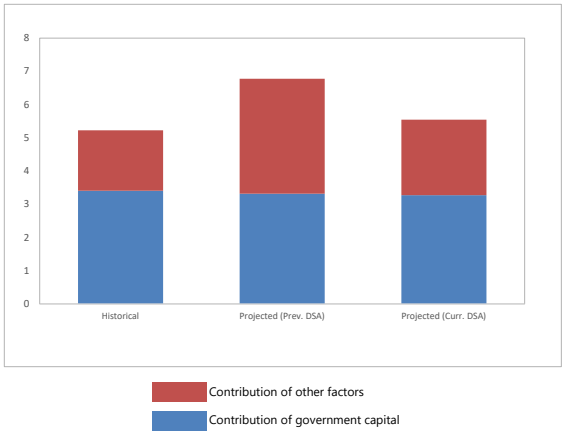


2/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(percent of GDP)



Contribution to Real GDP growth
(percent, 5-year average)



Sources: Country authorities and IMF staff estimates and projections.
1/ Public and private investment rates are preliminary and based on national accounts information. Some discrepancies with fiscal accounts information are expected.
2/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Figure 5. Qualification of the Moderate Category 2023-33[1]

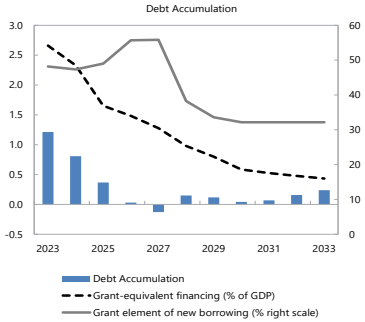
Sources: Country authorities and IMF staff estimates and projections.
1/ For the PV debt/GDP and PV debt/exports thresholds, x is 20 percent and y is 40 percent. For debt service/exports and debt service/revenue thresholds, x is 12 percent and y is 35 percent.

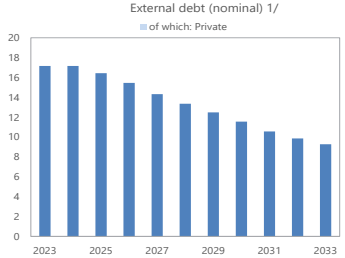
Table 1. Democratic Republic of the Congo: External Debt Sustainability Framework, Baseline Scenario 2020-43

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
External debt (nominal) 1/	**16.8**	**16.8**	**15.5**	**17.2**	**17.2**	**16.4**	**15.5**	**14.3**	**13.4**	**9.3**	**5.5**	**9.1**	**13.4**
of which: public and publicly guaranteed (PPG)	**16.8**	**16.8**	**15.5**	**17.2**	**17.2**	**16.4**	**15.5**	**14.3**	**13.4**	**9.3**	**5.5**	**9.1**	**13.4**
Change in external debt	3.4	0.0	-1.4	1.7	0.0	-0.7	-1.0	-1.1	-1.0	-0.6	-0.3		
Identified net debt-creating flows	**5.8**	**1.4**	**5.3**	**6.6**	**5.3**	**4.1**	**3.9**	**3.7**	**4.4**	**4.5**	**7.0**	**4.3**	**4.8**
Non-interest current account deficit	**1.9**	**0.8**	**5.1**	**5.2**	**3.6**	**2.5**	**2.3**	**2.1**	**2.7**	**2.6**	**4.8**	**3.8**	**3.1**
Deficit in balance of goods and services	1.2	-0.2	5.0	5.7	4.8	4.6	4.3	4.0	4.4	3.7	5.5	**4.1**	**4.6**
Exports	28.7	38.9	43.2	42.5	40.8	38.6	36.3	34.1	31.6	25.3	17.4		
Imports	29.9	38.7	48.2	48.2	45.6	43.2	40.6	38.0	35.9	29.1	22.9		
Net current transfers (negative = inflow)	-1.7	-2.2	-3.5	-4.0	-4.8	-5.4	-5.1	-4.7	-4.4	-3.3	-2.1	**-3.4**	**-4.3**
of which: official	-1.1	-1.3	-0.9	-0.8	-1.1	-1.4	-1.3	-1.2	-1.1	-0.8	-0.5		
Other current account flows (negative = net inflow)	2.4	3.2	3.6	3.5	3.5	3.3	3.1	2.9	2.7	2.1	1.4	**3.1**	**2.8**
Net FDI (negative = inflow)	**3.1**	**2.9**	**2.1**	**2.1**	**2.1**	**2.1**	**2.1**	**2.1**	**2.1**	**2.1**	**2.3**	**3.1**	**2.1**
Endogenous debt dynamics 2/	**0.9**	**-2.4**	**-1.9**	**-0.7**	**-0.4**	**-0.5**	**-0.5**	**-0.5**	**-0.5**	**-0.2**	**-0.1**		
Contribution from nominal interest rate	0.3	0.2	0.3	0.3	0.3	0.3	0.3	0.2	0.2	0.2	0.2		
Contribution from real GDP growth	-0.2	-0.9	-1.3	-1.0	-0.7	-0.8	-0.8	-0.8	-0.7	-0.4	-0.3		
Contribution from price and exchange rate changes	0.8	-1.7	-0.8	...	...	...	...	...	...	...	...		
Residual 3/	**-2.4**	**-1.4**	**-6.7**	**-4.9**	**-5.3**	**-4.9**	**-4.9**	**-4.9**	**-5.4**	**-5.1**	**-7.4**	**-4.3**	**-5.4**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**11.7**	**12.4**	**12.1**	**11.3**	**10.3**	**9.2**	**8.5**	**5.8**	**3.5**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**27.2**	**29.3**	**29.6**	**29.2**	**28.4**	**27.1**	**27.1**	**22.8**	**19.9**		
PPG debt service-to-exports ratio	**3.6**	**2.3**	**2.4**	**2.4**	**2.3**	**2.5**	**2.8**	**3.1**	**3.1**	**2.3**	**2.2**		
PPG debt service-to-revenue ratio	**12.0**	**8.1**	**6.9**	**7.4**	**6.1**	**6.1**	**6.2**	**6.4**	**5.6**	**3.0**	**1.7**		
Gross external financing need (Million of U.S. dollars)	2922.0	2674.9	5432.7	5733.6	5023.0	4692.6	4983.5	5366.8	6431.7	9510.1	30285.5		
Key macroeconomic assumptions													
Real GDP growth (in percent)	1.7	6.2	8.9	6.8	4.7	5.3	5.2	5.6	5.2	4.9	4.9	**5.3**	**5.2**
GDP deflator in US dollar terms (change in percent)	-5.9	11.0	5.2	-2.4	4.9	4.6	4.3	4.3	4.4	5.1	2.5	**2.9**	**4.1**
Effective interest rate (percent) 4/	2.0	1.3	1.7	1.9	1.9	1.8	1.8	1.7	1.7	2.4	2.9	**1.8**	**2.0**
Growth of exports of G&S (US dollar terms, in percent)	5.4	59.7	27.2	2.6	5.4	4.3	3.2	3.4	1.8	4.9	5.5	**14.6**	**4.3**
Growth of imports of G&S (US dollar terms, in percent)	-4.2	52.5	42.8	4.3	3.9	4.3	3.1	3.3	3.8	5.5	6.5	**13.6**	**4.6**
Grant element of new public sector borrowing (in percent)	...	...	...	48.2	47.3	49.0	55.7	55.8	38.3	32.2	32.2	**...**	**41.5**
Government revenues (excluding grants, in percent of GDP)	8.7	11.1	15.3	13.7	15.2	15.9	16.3	16.7	17.4	19.7	22.2	**11.3**	**17.2**
Aid flows (in Million of US dollars) 5/	1168.0	2290.2	2413.3	1943.6	1879.4	1517.4	1479.7	1412.0	1395.3	1094.1	1094.1		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	2.7	2.3	1.7	1.5	1.3	1.0	0.4	0.2	**...**	**1.2**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	61.3	66.8	67.1	72.9	71.7	57.9	47.8	47.8	**...**	**58.3**
Nominal GDP (Million of US dollars)	48,707	57,407	65,808	68,632	75,370	83,024	91,115	100,379	110,240	178,623	402,696		
Nominal dollar GDP growth	-4.3	17.9	14.6	4.3	9.8	10.2	9.7	10.2	9.8	10.2	7.6	**8.5**	**9.5**
Memorandum items:													
PV of external debt 7/	...	...	11.7	12.4	12.1	11.3	10.3	9.2	8.5	5.8	3.5		
In percent of exports	...	...	27.2	29.3	29.6	29.2	28.4	27.1	27.1	22.8	19.9		
Total external debt service-to-exports ratio	3.6	2.3	2.4	2.4	2.3	2.5	2.8	3.1	3.1	2.3	2.2		
PV of PPG external debt (in Million of US dollars)			7731.8	8529.8	9084.5	9360.5	9384.9	9266.7	9416.0	10303.5	13929.2		
(PVt-PVt-1)/GDPt-1 (in percent)				1.2	0.8	0.4	0.0	-0.1	0.1	0.2	0.1		
Non-interest current account deficit that stabilizes debt ratio	-1.5	0.8	6.4	3.5	3.6	3.3	3.3	3.3	3.7	3.2	5.1		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities and IMF staff estimations and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r – g – ρ(1+g) + Ɛα (1+r)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, ρ = growth rate of GDP deflator in U.S. dollar terms, Ɛ=nominal appreciation of the local currency, and α= share of local currency-denominated external debt in total external debt.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

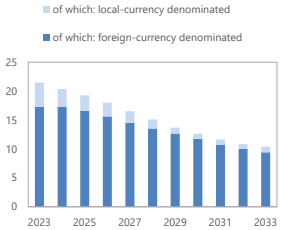
Table 2. Democratic Republic of the Congo: Public Sector Debt Sustainability Framework, Baseline Scenario 2020-43

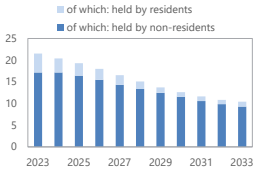
(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
Public sector debt 1/	**25.3**	**24.0**	**22.0**	**21.5**	**20.4**	**19.3**	**18.0**	**16.5**	**15.1**	**10.4**	**8.6**	**15.6**	**15.5**
of which: external debt	**16.8**	**16.8**	**15.5**	**17.2**	**17.2**	**16.4**	**15.5**	**14.3**	**13.4**	**9.3**	**5.5**	**9.1**	**13.4**
Change in public sector debt	5.9	-1.3	-2.0	-0.5	-1.1	-1.1	-1.3	-1.5	-1.4	-0.4	0.8		
Identified debt-creating flows	**4.2**	**-3.6**	**-2.4**	**-1.2**	**-0.4**	**-0.6**	**-1.0**	**-1.2**	**-1.2**	**-0.6**	**0.6**	**-1.0**	**-0.9**
Primary deficit	**3.0**	**1.3**	**0.2**	**1.1**	**0.8**	**1.2**	**0.7**	**0.6**	**0.4**	**0.5**	**1.1**	**0.4**	**0.6**
Revenue and grants	9.5	13.6	16.6	14.8	16.5	16.8	17.1	17.3	18.0	19.9	22.3	**13.3**	**17.8**
of which: grants	0.8	2.5	1.3	1.1	1.3	0.9	0.8	0.6	0.5	0.2	0.1		
Primary (noninterest) expenditure	12.6	15.0	16.8	15.9	17.4	17.9	17.9	17.9	18.3	20.4	23.4	**13.7**	**18.5**
Automatic debt dynamics	**1.2**	**-5.0**	**-2.7**	**-2.3**	**-1.2**	**-1.7**	**-1.8**	**-1.8**	**-1.6**	**-1.1**	**-0.5**		
Contribution from interest rate/growth differential	-0.5	-3.2	-3.1	-2.3	-1.2	-1.7	-1.8	-1.8	-1.6	-1.1	-0.5		
of which: contribution from average real interest rate	-0.2	-1.8	-1.1	-0.9	-0.2	-0.7	-0.8	-0.9	-0.7	-0.6	-0.1		
of which: contribution from real GDP growth	-0.3	-1.5	-2.0	-1.4	-1.0	-1.0	-1.0	-1.0	-0.8	-0.5	-0.4		
Contribution from real exchange rate depreciation	1.7	-1.7	0.4	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**1.7**	**2.3**	**0.5**	**0.7**	**-0.8**	**-0.5**	**-0.3**	**-0.2**	**-0.3**	**0.2**	**0.2**	**1.0**	**-0.2**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**18.5**	**16.9**	**15.4**	**14.2**	**12.9**	**11.5**	**10.3**	**6.9**	**6.6**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**111.8**	**113.7**	**93.1**	**84.7**	**75.4**	**66.4**	**57.4**	**34.8**	**29.7**		
Debt service-to-revenue and grants ratio 3/	**11.0**	**11.9**	**16.3**	**17.7**	**11.6**	**8.8**	**9.9**	**10.8**	**10.4**	**6.2**	**7.2**		
Gross financing need 4/	4.1	2.9	2.9	3.7	2.8	2.6	2.4	2.4	2.2	1.8	2.7		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	1.7	6.2	8.9	6.8	4.7	5.3	5.2	5.6	5.2	4.9	4.9	**5.3**	**5.2**
Average nominal interest rate on external debt (in percent)	2.1	1.4	1.7	2.0	1.9	1.9	1.8	1.8	1.7	2.4	2.9	**1.9**	**2.0**
Average real interest rate on domestic debt (in percent)	-5.5	-16.2	-5.7	-9.9	-4.8	-5.1	-4.3	-3.5	-2.9	1.1	1.7	**-9.4**	**-3.0**
Real exchange rate depreciation (in percent, + indicates depreciation)	12.9	-11.1	3.0	...	...	...	...	...	...	...	...	**0.6**	**...**
Inflation rate (GDP deflator, in percent)	5.8	19.3	6.3	11.4	6.6	6.2	5.8	5.8	5.9	5.6	5.9	**11.8**	**6.3**
Growth of real primary spending (deflated by GDP deflator, in percent)	-2.7	26.5	22.2	1.2	14.3	8.9	4.8	5.8	7.8	7.5	6.6	**10.6**	**7.2**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-2.9	2.6	2.2	1.6	2.0	2.3	2.0	2.0	1.8	0.9	0.3	**0.6**	**1.7**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Residency-based**
Is there a material difference between the two criteria?	**No**

Public sector debt 1/





Sources: Country authorities and IMF staff estimations and projections.

1/ Coverage of debt: The central, state, and local governments, central bank, government-guaranteed debt, non-guaranteed SOE debt. Definition of external debt is Residency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilize the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. Democratic Republic of the Congo: Sensitivity Analysis for Key Indicators of PPG External Debt, 2023-33

(In percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of debt-to GDP ratio											
Baseline	12	12	11	10	9	9	8	7	7	6	6
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	12	13	14	15	15	16	16	15	16	17	18
B. Bound Tests											
B1. Real GDP growth	12	13	12	11	10	9	9	8	7	7	6
B2. Primary balance	12	13	13	12	11	10	10	9	8	8	7
B3. Exports	12	20	**33**	**31**	29	27	26	24	22	21	19
B4. Other flows 3/	12	15	17	16	15	14	13	12	11	10	9
B5. Depreciation	12	15	12	11	9	9	8	7	6	6	6
B6. Combination of B1-B5	12	19	20	19	17	16	15	14	13	12	11
C. Tailored Tests											
C1. Combined contingent liabilities	12	17	16	15	14	13	12	11	10	10	9
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	12	16	19	18	16	15	14	13	12	11	10
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	30	30	30	30	30	30	30	30	30	30	30
PV of debt-to-exports ratio											
Baseline	29	30	29	28	27	27	26	26	23	23	23
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	29	32	36	40	45	51	52	54	57	63	69
B. Bound Tests											
B1. Real GDP growth	29	30	29	28	27	27	26	26	23	23	23
B2. Primary balance	29	32	35	34	33	33	32	32	29	29	28
B3. Exports	29	61	132	131	130	131	131	130	121	118	114
B4. Other flows 3/	29	37	45	45	43	44	43	43	39	38	37
B5. Depreciation	29	30	24	23	22	22	21	20	18	18	18
B6. Combination of B1-B5	29	50	48	61	59	60	59	58	54	52	51
C. Tailored Tests											
C1. Combined contingent liabilities	29	42	42	42	41	41	40	40	36	36	36
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	29	46	56	55	52	51	49	47	43	42	40
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	140	140	140	140	140	140	140	140	140	140	140
Debt service-to-exports ratio											
Baseline	2	2	3	3	3	3	3	3	3	3	2
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	2	2	3	3	4	4	4	5	4	4	4
B. Bound Tests											
B1. Real GDP growth	2	2	3	3	3	3	3	3	3	3	2
B2. Primary balance	2	2	3	3	3	3	4	4	3	3	3
B3. Exports	2	3	5	8	8	8	9	9	8	8	10
B4. Other flows 3/	2	2	3	3	4	4	4	4	4	4	3
B5. Depreciation	2	2	3	3	3	3	3	3	3	3	2
B6. Combination of B1-B5	2	3	4	4	5	5	5	5	5	5	5
C. Tailored Tests											
C1. Combined contingent liabilities	2	2	3	3	4	4	4	4	4	3	3
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	2	3	3	4	4	4	4	4	4	4	4
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	10	10	10	10	10	10	10	10	10	10	10
Debt service-to-revenue ratio											
Baseline	7	6	6	6	6	6	6	5	5	4	3
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	7	6	6	7	8	7	7	7	6	6	5
B. Bound Tests											
B1. Real GDP growth	7	6	7	7	7	6	6	6	5	4	3
B2. Primary balance	7	6	6	7	7	6	6	6	5	4	3
B3. Exports	7	7	9	11	11	10	9	9	8	8	8
B4. Other flows 3/	7	6	7	7	8	7	7	6	5	5	4
B5. Depreciation	7	8	8	7	8	7	7	6	6	4	3
B6. Combination of B1-B5	7	7	8	8	8	7	7	7	6	6	5
C. Tailored Tests											
C1. Combined contingent liabilities	7	6	7	7	7	6	6	6	5	4	4
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	7	7	8	9	9	7	7	7	6	5	5
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	14	14	14	14	14	14	14	14	14	14	14

Sources: Country authorities and IMF staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 4. Democratic Republic of the Congo: Sensitivity Analysis for Key Indicators of Public Debt, 2023-33

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of Debt-to-GDP Ratio											
Baseline	17	15	14	13	12	10	9	8	8	7	7
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	17	14	12	10	8	7	6	5	5	4	4
B. Bound Tests											
B1. Real GDP growth	17	17	17	17	16	16	16	16	16	16	17
B2. Primary balance	17	17	16	15	13	12	11	10	9	9	8
B3. Exports	17	22	33	30	28	26	24	22	21	19	18
B4. Other flows 3/	17	18	20	19	17	16	14	13	12	11	11
B5. Depreciation	17	18	15	13	10	8	6	4	3	2	1
B6. Combination of B1-B5	17	16	15	13	11	10	9	8	7	7	7
C. Tailored Tests											
C1. Combined contingent liabilities	17	21	19	18	16	15	13	12	11	11	10
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	17	17	18	19	19	19	19	19	19	19	20
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
TOTAL public debt benchmark	35	35	35	35	35	35	35	35	35	35	35
PV of Debt-to-Revenue Ratio											
Baseline	114	93	85	75	66	57	50	45	40	36	35
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	114	87	72	59	49	40	33	28	24	21	19
B. Bound Tests											
B1. Real GDP growth	114	100	102	98	94	89	85	84	83	83	85
B2. Primary balance	114	100	98	88	78	68	59	54	49	44	42
B3. Exports	114	136	195	178	162	144	130	120	109	98	90
B4. Other flows 3/	114	111	122	110	99	87	77	70	64	57	54
B5. Depreciation	114	107	91	74	59	45	33	23	15	8	3
B6. Combination of B1-B5	114	96	88	73	64	55	48	43	38	35	33
C. Tailored Tests											
C1. Combined contingent liabilities	114	127	115	104	93	81	72	66	59	54	51
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	114	111	115	117	115	109	104	101	99	97	98
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	18	12	9	10	11	10	10	9	8	7	6
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	18	11	8	8	9	8	7	6	5	4	3
B. Bound Tests											
B1. Real GDP growth	18	12	10	11	13	12	12	11	11	10	9
B2. Primary balance	18	12	9	11	11	11	10	9	9	8	7
B3. Exports	18	12	10	13	14	13	13	11	11	10	11
B4. Other flows 3/	18	12	9	11	12	11	11	10	9	8	8
B5. Depreciation	18	12	10	11	12	11	10	9	8	7	5
B6. Combination of B1-B5	18	11	9	10	11	10	10	9	8	7	6
C. Tailored Tests											
C1. Combined contingent liabilities	18	12	11	11	12	11	11	10	9	8	7
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	18	13	10	12	13	13	13	11	11	10	9
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities and IMF staff estimates and projections.
1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.